



Pope's car raises money

The Pope's Lamborghini Huracan, painted in the Vatican colours, raises more than \$850,000 on auction for charity. <https://digit.in/jun18-B37-1>



What is Edge computing?

Imagine a future where companies get to micromanage the software that you use and appliances. <https://digit.in/jun18-B37-2>

THE DIGIT COMMUNITY IS FILLED WITH BRIGHT IDEAS and we find the best among the best every month to bring them to you in this section.

An era of Platforms

An age unlike any other is upon us

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We live in a platform age. Look around and you will find that for our daily needs we are dependent upon one or

the other digital platform. For example, Google – to search any information online, Facebook – to network and connect with friends & peers, Netflix or Hotstar – to entertain ourselves and so on. The reason is plain and simple – we live in a connected world now. And the network effect of this connectedness makes platforms more vital in today's context. According to a research conducted by the World Economic Forum, the estimated value that digital platforms could unlock is US\$10 trillion over the next decade. As per the Forbes, there were five platform companies among top ten world's most valuable brands in 2017.

In India, we have many popular examples, such as Flipkart, OLA cabs, Bigbasket, Paytm, to name a few. According to Mr. Ravi Kumar S., President & Deputy Chief Operating Officer, Infosys, "a platform business model creates inclusive prosperity at scale, generates disproportionate value, and builds trust among the stakeholders." This is like a win-win situation for everyone involved. Platforms like Indiegogo and Kickstarter, provide crowd-funding opportunities as well as promoting creativity, innovation, and collaboration.

According to Accenture's Digital Economic Value Index, 25 percent of the world's economy will be digital by 2020, which was 15 percent in 2005 and accounted for 22 percent in 2015. Powered by a growing technological backbone, digital platforms are diverse in structure and function. By design, they provide an open stage that engages multiple stakeholders together and is free from biases (ideally). Amazon Web Services is a suitable example for this. Platforms count on interconnections and availability of low-cost, cloud based tools and services. As more and more businesses migrate to platforms, the behemoths of Google, Amazon, Facebook and Microsoft create more and more value for themselves and their partners.

Here lies one of the latent pitfalls of the platform model. These giants are capable to develop bigger, faster, robust and cheaper resources and pull further away from their smaller competitors. The network effect that creates vigor and scale also tend to consolidate markets just as quickly. As a result, they become anticompetitive and monopolies.

THE NEW BUSINESS MODEL - FROM PRODUCT TO PLATFORM

In a Harvard Business Review (HBR) article, Prof. Nathan Furr suggests a phase-wise transition from product to platform through demand-side and supply-side evolution.

A fantastic case is that of Facebook gradually providing a platform to third party developers and freelancers to integrate APIs and solutions that makes

the overall platform richer and provides revenue opportunities as well. The case of Airbnb, which along with opening up a means of livelihood for millions of hosts worldwide, is also providing economic value to neighborhoods.

THE PLATFORM ECONOMY

According to the Accenture Technology Vision 2016 survey, "83 percent executives believe the digital economy is driving a major shift in power from the supply-side economies of scale to demand-side economies based on the power of ecosystems of customers, partners, developers, and other stakeholders." In this regards, platform ecosystem has a significant role in all types of businesses, be it asset-heavy companies like GE, or asset-light ones like Uber.

There are various proposed types of a platform economy companies. One can broadly classify them into four categories: Innovation Platforms – where developers provide complementary products or services (e.g. Windows and Salesforce); Transaction Platforms – help businesses and individuals to find each other (e.g. Amazon and Uber); Integration Platform – is a technology, product or service that is an innovation as well as transaction platform (e.g. Apple store); Investment Platforms – a platform portfolio that acts as a holding company (e.g. Priceland).

The gig economy, predicted to grow by 43 percent by 2020, is a big beneficiary of platform economy and platforms as a business model. With rise of platforms, independent workers and freelancers enjoy the freedom and flexibility to operate. As emphasized by Sangeet Paul Choudary et al., authors of Platform Revolution, "global network infrastructure now permits for much larger scale aggregation which is no longer dependent on physical exchange." With this revolution happening all around, the success mantra of a platform resides in how quickly and seamlessly it can add new planks, forge new partnership, and adapt to business and technological advancements. This was profoundly understood by successful platform architects. Do you get it?